$$\max_{\pi} \mathbb{E}\left[\sum_{t=0}^{\infty} \beta^t r(s_t, a_t)\right] \text{ s.t. } a_t \sim \pi$$

where $\pi(a|s)$ = the decision rule.

$$S = \{s_1, s_2, s_3, \ldots\}, \text{ where}$$

$$s_t = \begin{cases} s_t \in \mathbb{R}^n & \text{(} s_t \text{ is a distribution over} \\ & \text{values which could} \\ & \text{depend on the history} \\ & \{s_1, a_1, s_2, a_2, \ldots, s_{t-1}, a_{t-1}, s_t\}) \end{cases}$$

I - Solve this decision problem

Step 1: Let us assume $\pi(a_t|s_t)$ is deterministic given $\{s_t\}$. We can write $\pi(a_t|s_t)$ as a function $a_t = \pi(s_t)$ where $a_t$ is a random variable, in which case we have to replace $\pi(a_t)$ by $\pi(s_t, a_t) = \mathbb{E}[\pi(s_t)|s_t, a_t]$.

- We first consider stationary, Markov policies and then we will prove that for these classes of policies we coefficient to consider, i.e.,

$$\pi_t = \pi(s_t) \quad \begin{matrix} \text{Markovian policy as we} \\ \text{will see that} \\ \text{optimal policies are} \\ \text{Markovian} \end{matrix}$$

$$\pi_t = \pi \quad \begin{matrix} \text{stationary} \\ \text{policy} \end{matrix}$$

Look stationary policy $\pi$ (possibly randomized).

Define the value function $V$ as:

$$V_\pi(s) = \mathbb{E}\left[\sum_{t=0}^{\infty} \beta^t r(s_t, a_t) \,\middle|\, s_0 = s\right],$$

with $a_t = \pi(s_t)$

You can write down $\{s_t, a_t\}$ of life and and from $\pi(s)$ and $s$ have which are thereby.

$$\left[\sum_{t=0}^{\infty} \beta^t r(s_t, a_t)\right] = \frac{1}{1-\beta} \cdot a$$

Use that

$$\begin{aligned} V_\pi(s) &= \mathbb{E}\left[r(s, a_0) + \beta \sum_{t=1}^{\infty} \beta^{t-1} r(s_t, a_t) \,\middle|\, s_0 = s\right] \\ &= \mathbb{E}\left[r(s, a_0) | s_0 = s\right] + \beta \mathbb{E}\left[\sum_{t=1}^{\infty} \beta^{t-1} r(s_t, a_t) \,\middle|\, s_0 = s\right] \\ &= \mathbb{E}_{s'}\left[r(s, a_0) | s_0 = s, s' = s_1\right] + \beta \mathbb{E}\left[\sum_{t=1}^{\infty} \beta^{t-1} r(s_t, a_t) \,\middle|\, s_0 = s\right] \\ &= \mathbb{E}_{s'}\left[r(s, a_0) | s_0 = s, s' = s_1\right] + \beta \mathbb{E}\left[\sum_{t=0}^{\infty} \beta^{t} r(s_{t+1}, a_{t+1}) \,\middle|\, s_0 = s\right] \\ &= \mathbb{E}\left[r(s, a_0) | s_0 = s\right] + \beta \mathbb{E}\left[V_\pi(s_1) \,\middle|\, s_0 = s\right] \end{aligned}$$

Therefore

$$\Rightarrow \boxed{V_\pi(s) = r(s, a) + \beta \mathbb{E}\left[V_\pi(s_1) \,\middle|\, s_0 = s\right]} \quad \text{---(1)}$$

Here, $r(s, a)$ is short-hand notation for

$$\sum_{s'} r(s, a) T(s'|s)$$

and $\mathbb{E}\left[V_\pi(s_1) | s, a\right] = \sum_{s'} T(s_1 | s, a) V_\pi(s_1) \mathbb{E}(a) | s, a)$

Define the value $V_\pi = \begin{pmatrix} V_\pi(s_1) \\ \vdots \\ V_\pi(s_n) \end{pmatrix}$

where $|S|$ = the cardinality of the state space is $n$. Then, (1) can be written as

$$\boxed{V_\pi = r_\pi + \beta P_\pi V_\pi} \quad \text{where } r_\pi \in \mathbb{R}^{|S|}, P_\pi \in \mathbb{R}^{|S| \times |S|}$$

(Matrix-vector notation)

with

$$T_\pi(s|s_t) = T(s|s_t, \pi(s_t)) = a \mathbb{E}\left[T(s|s_t, a) \,\middle|\, a = \pi(s_t)\right]$$

Solution of $V_\pi$

(1) To do so we introduce the $\|\cdot\|_\infty$ norm: $\|V\|_\infty = \max_{s \in S} |V_\pi(s)|$, where the inequalities should be interpreted as element-by-element (Manhattan-ly).

Then, $\|V_\pi(s) - \tilde{V}_\pi(s)\|_\infty$

$$= \|r_\pi + \beta P_\pi V_\pi - \tilde{r}_\pi - \beta \tilde{P}_\pi \tilde{V}_\pi\|_\infty \quad \pm (r_\pi V_\pi)$$

$$= \|r_\pi - \tilde{r}_\pi + \beta P_\pi V_\pi - \beta \tilde{P}_\pi \tilde{V}_\pi\|_\infty \quad \pm (\beta P_\pi \tilde{V}_\pi)$$

$$\leq \|r_\pi - \tilde{r}_\pi\|_\infty + \beta \|P_\pi (V_\pi - \tilde{V}_\pi)\|_\infty + \beta \|(P_\pi - \tilde{P}_\pi) \tilde{V}_\pi\|_\infty$$

$$\leq \|r_\pi - \tilde{r}_\pi\|_\infty + \beta \|V_\pi - \tilde{V}_\pi\|_\infty + \beta \|(P_\pi - \tilde{P}_\pi) \tilde{V}_\pi\|_\infty$$

$$\Rightarrow \|V_\pi\|(s) - \tilde{V}_\pi(s)\| \leq a \|\tilde{V}_\pi\|_\infty$$

$$\Rightarrow \boxed{\|V_\pi(s) - \tilde{V}_\pi(s)\|_\infty \leq a \|\tilde{V}_\pi\|_\infty}$$

(2) $T_\pi(s|s) = V_\pi(s) = \sum_{s'} T(s'|s, \pi(s)) T(s|s)$

$$V(s_1)$$

$$\leq \max_{s} \sum_{s'} T(s'|s, \pi(s)) T(s|s)$$

$$= \|T_\pi(s)\|_\infty \quad \forall s$$

$$\Rightarrow \boxed{\|T_\pi\|_\infty \leq 1}$$

- $T_\pi$ is called the Bellman operator for a fixed policy $\pi$ or the Bellman consistency operator.

- For the contraction property of the Bellman operator it is clear that for any fixed-point iteration $V_{k+1} = T_\pi(V_k)$ for any $V_0$

$$\boxed{V_{k+1} = T_\pi(V_k)} \quad \text{for any } V_0$$

- Note that the Bellman operator can also be written as

$$T_\pi(s) = \forall s \to a \, T_\pi V \quad \text{where}$$

$\forall s$ is a vector where $s^{th}$ element

$$V_\pi(s) = \sum_{s'} T(s'|s, \pi(s)) V(s_1)$$

and $T_\pi$ is a matrix where $(s, s')^{th}$ element

$$(T_\pi)_{s,s'} = \sum_{s'} T(s'|s) \quad \text{where } T(s'|s) = T(s'|s, \pi(s))$$

$V_\pi = T_\pi(V_\pi)$ can be written as

$$V_\pi = r_\pi + \beta P_\pi V_\pi$$

and we have $V_\pi$ is the fixed point of

$$\boxed{V_{k+1} = (I - \beta P_\pi) \cdot V_k}$$

$(I - \beta P_\pi)$ is invertible because all eigenvalues of $\beta P_\pi$ have absolute value $< 1$ since $\beta < 1$ by the Banach Fixed Point Theorem for all-Bellman contraction, which we will apply shortly in fixed form.

Bellman optimality operator: Although we know that a deterministic Markovian policy is optimal, how do we find one of the best policies? Define the state-value function $V^*$ for the Bellman equation a

$$V(s) = \max_{a} r(s, a) + \beta \mathbb{E}\left[V(s') \,\middle|\, \begin{matrix} s_0 = s, \\ a_0 = a \end{matrix}\right]$$

Here, $V$ is the optimal value function. Eqn 1 is known, which that the $\mathbb{E}[\cdot]$ returns a deterministic policy $\pi$ all shows that this is indeed the optimal policy.

Define an $\forall s$ that, we write the Bellman operator as

$$T(V(s)) = \max_{a} r(s, a) + \beta \mathbb{E}\left[V(s') \,\middle|\, \begin{matrix} s_0 = s, \\ a_0 = a \end{matrix}\right]$$

The operator $T$ is called the Bellman operator

Properties of $T$:

(1) $T$ is an $\infty$-contraction $\Rightarrow \exists$ $V_\pi$

(2) $T$ is monotone $\quad TV \leq TV \Rightarrow V \leq V$

Proof:

(1) $\|T(V) - T(\tilde{V})\|$

$$= \max_{a} r(s, a) + \beta \mathbb{E}\left[V(s') | s_0 = s, a_0 = a\right] - \max_{a} r(s, a) + \beta \mathbb{E}\left[\tilde{V}(s') | s_0 = s, a_0 = a\right] \quad \text{Add } \pm \text{ the same term}$$

$$\leq \max_{a} r(s, a) + \beta \mathbb{E}\left[V(s') | s_0 = s, a_0 = a\right] - r(s, a) - \beta \mathbb{E}\left[\tilde{V}(s') | s_0 = s, a_0 = a\right]$$

$$= \max_{a} \beta \mathbb{E}\left[V(s') - \tilde{V}(s') | s_0 = s, a_0 = a\right]$$

$$\leq \beta \mathbb{E}\left[\max_{a} V(s') - \tilde{V}(s') | s_0 = s, a_0 = a\right]$$

$$\Rightarrow \boxed{\|T(V) - T(\tilde{V})\|_\infty \leq \beta \|V - \tilde{V}\|_\infty}$$

(2) Easy.

(3) $\Rightarrow$ Then exists a unique $V$ s.t. $V = T(V)$ and can be obtained as the limit of a fixed-point iteration.

Let $V^*$ be the policy obtained by solving:

$$\max_{a} r(s, a) + \beta \mathbb{E}\left[V(s') | s_0 = s, a_0 = a\right]$$

$$\Rightarrow \text{We have } \pi = \pi^*(s)$$

This that $V^*$ satisfies

$$V(s) = \max_{a} \underbrace{r(s, a)}_{T_\pi(s)} + \beta \mathbb{E}\left[V(s') | s_0 = s, a_0 = a\right]$$

$$\Rightarrow V = T_{\pi^*}(V)$$

Then, $V$ is also the value function of $\pi^*$

Theorem: $V^*$ is optimal in the class of all policies.

Proof:

Step 1: Consider the problem of maximizing

$$\mathbb{E}\left[\sum_{t=0}^{\infty} \beta^t r(s_t, a_t)\right]$$

The value function satisfies

$$V_{\pi_0}(s_0) = 0$$

$$V_{\pi_1}(s) = \max_{a} r(s, a) + \beta \left[\mathbb{E}_{s'}\left(a_0\right)\right]_{a_0 = \pi_1(s)}$$

$$= T(0)(s)$$

$$\Rightarrow V_{\pi_1} = T(0)$$

$$V_{\pi_2}(s) = \max_{a} r(s, a) + \beta \left[\mathbb{E}_{s'}\left(V_{\pi_1}(s_1)\right)\right]_{a_0 = \pi_2(s)}$$

$$= T^2(s)$$

$$\Rightarrow V_{\pi_2} = T^2(0)$$

Continuing, $V_{\pi_k} = T^k(0)$

Eq 1 is an optimal policy (not necessarily the best Markovian policy). Hence,

$$V_{\pi_k} \leq V^* \quad \forall k$$

Taking the limit as $k \to \infty$,

$$V_\pi \geq V \quad \text{(This is by the contraction mapping theorem)}$$

Step 2:

$$V_\pi(s) = \max_{a} \mathbb{E}\left[\sum_{t=0}^{\infty} \beta^t r(s_t, a_t) \,\middle|\, s_0 = s\right]$$

We have $\mathbb{E}\left[\sum_{t=0}^{\infty} \beta^t r(s_t, a_t) | s_0 = s\right] \leq \sum_{t=0}^{\infty} \beta^t \max_{s} r(s, a) = \frac{1}{1-\beta} \max_{s} r(s, a)$

Therefore $\max_{\pi} V_\pi(s) \leq \frac{1}{1-\beta} \max_{s} r(s, a)$

$$\Rightarrow V(s) \leq \frac{1}{1-\beta} \max_{s} r(s, a)$$

$$\Rightarrow V_\pi \leq V \quad \forall \pi$$

$$\Rightarrow \boxed{V = V^*}$$

Conclusion: In a stationary, deterministic MDP there is an optimal value function satisfying

$$\boxed{V = T(V)}$$

and

$$\boxed{V^*(s) = \max_{a} r(s, a) + \beta \mathbb{E}\left[V(s') | s, a\right]}$$

The Q-function

$$Q(s, a) \triangleq r(s, a) + \beta \mathbb{E}\left[V(s') | s, a\right]$$

$$\Rightarrow V(s) = \max_{a} Q(s, a)$$

$$\Rightarrow \boxed{Q(s, a) = r(s, a) + \beta \mathbb{E}\left[\max_{a'} Q(s', a') \,\middle|\, s, a\right]}$$

$\Rightarrow$ This is another form of the Bellman equation. $Q$ can write it as

$$Q = T_Q(Q),$$

and can again show that $T_Q$ is an $\infty$-contraction in the $\|\cdot\|_\infty$ norm.

Recall for a fixed non-optimal, possibly non-Markovian $\pi$

$$V_\pi(s) = r(s, \pi(s)) + \beta \mathbb{E}\left[V_\pi(s') | s\right]$$

where $\mathbb{E}\left[V_\pi(s') | s\right] = \sum_{s'} V_\pi(s') \sum_{a} T(s'|s, a) T(a|s)$

i.e., the reward obtained by taking action $a$ at the current time and then following $\pi$ after that.

$$\Rightarrow V_\pi(s) = \sum_{a} T(a|s) \left(r(s, a) + \beta \mathbb{E}_{s'}\left[V_\pi(s') | s, a\right]\right)$$

$$= \sum_{a} T(a|s) Q_\pi(s, a)$$

$$\Rightarrow \boxed{Q_\pi(s, a) = r(s, a) + \beta \sum_{s'} \left(\sum_{a'} T(a'|s') Q_\pi(s', a')\right) T(s'|s, a)}$$

$\Rightarrow$ Then $Q_\pi$ (Eq) is also an $\infty$-contraction in $\|\cdot\|_\infty$

By choosing coefficients, we will see the $T$ and $T$ for both. Then $V$ will be fixed-point equations and it should be clear that $V = V^*$ and $Q = Q^*$.